

Australian Ethical Investment

Due Diligence Questionnaire Response Australian Ethical Balanced Fund

March 2026

Issued by: Australian Ethical Investment Limited

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1. Risk Management Framework

Australian Ethical operates a risk framework covering both financial and ethical risk:

Risk Governance

- Board Risk & Compliance Committee: 3 independent directors, meets quarterly
- Investment Risk Committee: CIO + Head of Risk + senior PMs, meets monthly
- Ethics Advisory Committee: 3 external experts, meets quarterly
- Independent risk function: 4 professionals, CRO reports to Board

Quantitative Risk Limits

Portfolio VaR (95%, 1-day)	Limit: 0.8% of NAV
CVaR (95%, 1-day)	Limit: 1.2% of NAV
Tracking Error vs SAA	Hard limit: 6% p.a.
Single Stock Limit	6% at cost
Drawdown Trigger	-12% from peak triggers IC review

Ethical risk management: Any Charter breach identified in an existing holding triggers immediate escalation to the Ethics Research team. Confirmed breaches require divestment within 30 days. Near-misses are tracked and reported to the Ethics Advisory Committee quarterly.

Escalation: Financial risk limit breaches notified to CRO within 4 hours. Ethical breaches escalated to Head of Ethics Research immediately. Board notification for any material breach within 24 hours.

2. Operational Infrastructure

Service Providers

Custodian	BNP Paribas Securities Services (APRA-regulated)
Administrator	BNP Paribas (unit pricing, accounting)
Registry	Automic Group
External Auditor	Deloitte Touche Tohmatsu

Technology Systems

OMS/PMS	SimCorp Dimension
Risk System	FactSet
Compliance	FIS Protegent (automated)
Ethical Screening	Proprietary Charter-compliance system
Reconciliation	Daily automated (BNP Paribas)

Audit & Controls

Most recent external audit (30 June 2025): Unqualified opinion by Deloitte.

ISAE 3402 report from BNP Paribas (December 2025): No exceptions noted.

Internal audit: Annual review cycle covering investment operations, ethical screening, and technology. Most recent: All satisfactory.

3. Key Person Risk & Team

Mark Simons (CIO) is identified as the key person. Additionally, the Ethics Research team's institutional knowledge of Charter interpretation is considered critical. Mitigation:

- Deputy CIO designated with full authority in CIO's absence
- Head of Ethics Research (12 years tenure) can independently run ethical screening
- All Charter interpretations documented in precedent database (800+ decisions)
- Ethics Advisory Committee provides external continuity

Team Depth

Total investment team	14 professionals
Ethics Research team	3 specialists
Average tenure	6.8 years
Turnover (3yr avg)	15%

The 15% turnover is slightly above industry average, partly reflecting the firm's rapid growth requiring capability expansion. No senior investment departures in the past 2 years. Staff attracted by alignment with ethical mission; retention programs include competitive remuneration and purpose-driven culture.

4. Business Continuity & DR

RTO	4 hours for critical systems
RPO	1 hour
DR Site	Cloud-based (AWS), geographically redundant
Remote Trading	All PMs can trade remotely

Testing

BCP/DR tested annually. Most recent (September 2025): Full DR activation achieved within 3.5 hours (within RTO). Ethical screening system tested separately and confirmed operational at DR site.

COVID experience: Successfully operated remotely March 2020 - July 2021. No trading disruptions. Experience validated remote infrastructure and led to permanent hybrid arrangements.

BCP reviewed annually by Board. Last full update: July 2025.

5. Compliance & Regulatory

AFSL 229949 is current with standard authorisations for operating MIS and providing financial advice.

- Compliance team: 5 professionals, CCO reports to Board
- Annual compliance plan (approved January 2026)
- Automated compliance monitoring (Charter + investment limits)
- Breach register: 1 minor breach in past 3 years (single-stock over-allocation by 0.3%, self-identified, corrected same day)
- Zero significant breaches or ASIC actions in firm's 40-year history
- AFCA member

The firm's unblemished 40-year regulatory record is notable and reflects the deep ethical culture that extends to compliance and operational conduct.

6. Conflicts of Interest

Related Party Transactions

The Balanced Fund invests in Australian Ethical's own sub-strategies (Australian Equities Fund, International Equities Fund, Fixed Income Fund). Fee rebates are applied to eliminate double-charging. All related investments are disclosed.

Personal Trading

- Pre-clearance required for all personal trades
- 30-day minimum holding period
- Charter applies to personal investments -- staff may not hold excluded stocks
- Quarterly compliance certification

Independence

- Board: 6 directors, 4 independent (Chair independent)
- Ethics Advisory Committee: 3 external members, fully independent
- No affiliated broker or custodian
- Soft dollars: Not accepted

7. Business Viability

Firm Revenue (FY2025)	AUD 98 million
Net Profit (FY2025)	AUD 24 million
Total AUM (Dec 2025)	AUD 10.7 billion
3-Year AUM CAGR	+18.5%
Dividend Payout	65% of earnings

Growth Trajectory

Dec 2023	AUD 7.2 billion
Dec 2024	AUD 9.1 billion
Dec 2025	AUD 10.7 billion

Australian Ethical is one of the fastest-growing investment managers in Australia, with AUM nearly tripling in 5 years. Growth is driven by the secular trend toward ethical/sustainable investing, particularly in superannuation.

Staff

Total employees	165
Investment professionals	14
Voluntary turnover (2025)	15%

The firm's rapid growth has required significant hiring across all functions. The investment team has been deliberately kept lean relative to AUM, with scale achieved through systematic processes and technology.

8. Technology & Cyber Security

- Cloud-first architecture (AWS)
- ISO 27001 certification in progress (target: Q2 2026)
- Annual penetration testing (last: August 2025, no critical findings)
- MFA on all systems
- Managed SOC (24/7 monitoring)
- Quarterly vulnerability assessments
- Mandatory cyber training (phishing simulations monthly)

9. Ethical Screening Technology

Australian Ethical has developed proprietary technology to support Charter compliance:

- Automated daily screening of all holdings against exclusion criteria
- Real-time alerts for potential Charter breaches (news monitoring)
- Ethical Scoring database covering 4,500+ companies
- Precedent database of 800+ Charter interpretation decisions

The system is maintained by a dedicated technology team and undergoes annual testing as part of the BCP/DR cycle.

10. Proxy Voting Policy

Australian Ethical exercises all voting rights directly (no proxy advisor outsourcing):

- All voting decisions made by Ethics Research team + relevant PM
- Voting policy published on website
- Quarterly disclosure of all votes (including rationale for against-votes)
- Will vote against management on: inadequate climate targets, excessive executive pay, insufficient board diversity, poor human rights oversight

11. Liquidity Management

- Minimum 80% of portfolio realisable within 7 days
- Quarterly liquidity stress testing
- Cash/near-cash buffer: 10%+ maintained
- No illiquid investments (property is via listed REITs only)
- Large redemption protocol: >5% of fund triggers PM notification

12. Insurance

- Professional Indemnity: AUD 50 million
- Directors & Officers: AUD 30 million
- Crime/Fidelity: AUD 20 million
- Cyber Insurance: AUD 15 million

13. Counterparty Risk

Minimal counterparty exposure:

- No OTC derivatives
- Exchange-traded futures only (ASX Clear)
- Custodian (BNP Paribas): APRA-regulated, S&P AA- rated
- No securities lending

14. Valuation

Listed securities: Daily market prices (ASX, international exchanges)

Fixed income: Independent pricing services (Bloomberg)

Unit pricing verified daily by BNP Paribas (administrator)

Valuation policy audited annually by Deloitte

15. Distribution Policy

Semi-annual distributions (June and December). Comprising dividends, interest, franking credits, and capital gains. The fund aims to distribute 100% of taxable income.

16. Regulatory & Legal Confirmations

- AFSL 229949 current, no conditions
- No current litigation
- No pending regulatory actions
- All reporting obligations met on time
- AFCA member, no unresolved complaints

17. Appendix -- Ethical Charter (Extract)

The Australian Ethical Charter states that the trustee shall seek out investments which provide for and support:

- The development of workers' participation in the ownership and control of their work organisations and places
- The ## of self-reliance and respect for the natural environment among indigenous peoples
- The production of safe and beneficial products and services
- The efficient use of human waste and the recycling of materials

And shall avoid investments which unnecessarily:

- Exploit people through the payment of low wages or the provision of poor conditions
- Are unduly wasteful or polluting
- Contribute to the destruction of wilderness areas or their native ecosystems